

PolicyWise Insurance Terms Handbook - Synthetic Reference Document

Document Code: PW-TM-2026-01

Important: This is a fictional, synthetic document created only for software development, RAG testing, demonstrations, and training. It is not a real insurance contract.

1. Premium

A premium is the amount paid by the policyholder to maintain insurance coverage according to the payment schedule stated in the policy.

2. Sum Insured

The sum insured is the maximum coverage amount available under a policy or benefit, subject to sub-limits, deductibles, exclusions, and other terms.

3. Deductible

A deductible is the portion of an otherwise covered loss that the insured must bear before or as part of the insurer's payment, depending on the policy structure.

4. Exclusion

An exclusion is a circumstance, event, treatment, loss, or condition for which the policy does not provide coverage.

5. Waiting Period

A waiting period is a specified period after coverage begins during which certain benefits are not yet available. Different benefits can have different waiting periods.

6. Pre-existing Disease

In health insurance, a pre-existing disease generally refers to a medical condition that existed before the relevant policy coverage began, subject to the exact definition in the applicable policy.

7. Nominee

A nominee is a person designated by the policyholder to receive eligible policy benefits, particularly in life insurance, subject to applicable policy terms and law.

8. Insured Declared Value

In motor insurance, insured declared value, commonly abbreviated as IDV, is a value used in determining the maximum amount payable for certain total-loss or theft claims, subject to the policy wording.

9. Cashless Claim

A cashless claim is a claim arrangement in which an eligible insurer or administrator directly settles approved covered expenses with a network service provider, subject to authorization and policy conditions.

10. Reimbursement Claim

In a reimbursement claim, the insured generally pays eligible expenses first and later submits the required documents to request reimbursement under the policy.

11. RAG Testing Note

Definitions in this handbook are general. When a product policy provides a specific definition, limit, waiting period, or exclusion, the product-specific wording should be treated as the more relevant source for that question.